

(legacy) and maintaining sufficient reserves for unexpected contingencies that have not been earmarked for other purposes (liquidity). Lifestyle, longevity, legacy, and liquidity are the four Ls of retirement income.

Changing Risks in Retirement

It is important to understand from the very outset how changing risks are primarily what separate retirement income planning from traditional wealth management. Retirees have less capacity for risk, as they become more vulnerable to a reduced standard of living when risks manifest. Those entering retirement are crossing the threshold into an entirely foreign way of living. These risks can be summarized in seven general categories, listed in Exhibit 1.4.

Exhibit 1.4

Retirement Risks

- Reduced earnings capacity
- Visible spending constraint
- Heightened investment risk
- Unknown longevity
- Spending shocks
- Compounding inflation
- Declining cognitive abilities



1. Reduced earnings capacity

Retirees face reduced flexibility to earn income in the labor markets as a way to cushion their standard of living from the impact of poor market returns. One important distinction in retirement is that people often